XAUUSD · PRICE ACTION

Reading the chart with Heikin Ashi candles

Every candle shape, every colour change, and what each one actually tells you about who is in control. Basics to expert, in the plainest English possible.

📊 What this is

A guide to **reading** a chart. Not a strategy, no entries, no stops, no signals.

🎯 Built for

XAUUSD on D1, 4H, 1H, 15m and 5m, alongside the normal candle chart you already read.

⚠️ Honesty

Nothing here has been backtested. It is a way of seeing, not evidence that any of it makes money.

Every claim in this document is labelled mechanical (forced by the formulas, always true) or convention (how traders read it, not a law).

CONTENTS

What is in here

Seven sections. Read one to four in order. Five to seven are the ones you come back to.

⚠️ Read this before anything else

A Heikin Ashi price is not a real price. The close of a Heikin Ashi candle is an average. The high and low of a Heikin Ashi candle can sit at prices that never traded at all.

So: you may read the chart with Heikin Ashi. You may never take a level from it. Every entry, every stop, every target comes off the normal candle chart. There is no exception to this and it is the only mistake in this whole document that costs money rather than accuracy.

SECTION ONE

The basics

Four small sums turn an ordinary chart into a Heikin Ashi chart. Understanding them is what separates reading this chart from guessing at it.

What a Heikin Ashi candle is made of

Each Heikin Ashi candle is built from two things: the real bar happening right now, and the Heikin Ashi candle just before it. That second ingredient is the whole story.

`HA close = (open + high + low + close) ÷ 4`

The **average price of this bar**. Not where it closed — where it spent its time.

`HA open = (previous HA open + previous HA close) ÷ 2`

The **middle of the last candle's body**. This has nothing to do with the market right now. It is memory.

`HA high = highest of (real high, HA open, HA close)`

Usually the real high — but it can be the HA open or close instead, and then the top of the candle is a price that never traded.

`HA low = lowest of (real low, HA open, HA close)`

The same in reverse.

Why this makes the chart look smoother

Every candle carries half of the one before it. So a single wild bar cannot produce a single wild candle — it gets spread across the next few. The chart calms down. The market does not.

> 💡 The one sentence that explains everything else
>
> The Heikin Ashi open is the middle of the last candle's body. So every candle is really answering one question: **did this bar trade above or below the middle of the last one?** Every shape in section two is just a different answer to that question.

The lag, and what it costs you

Because half of each candle comes from the past, turns show up late. On a sharp reversal you will typically see the colour flip one to two candles after the actual turn, and on a fast V-shaped turn it can be more. On the daily that is a day. On the 15m it is half an hour.

The lag hurts most on fast, sharp turns and on low timeframes where each candle is a small slice of time. It hurts least in slow, grinding trends, which is exactly where Heikin Ashi is worth using.

What the colour does and does not tell you

Green means the HA close finished above the HA open. Red means below. That is all it means.

It does **not** mean the bar closed up. It does not mean the trend is up. It means the average price of this bar landed above the middle of the last candle's body. Everything useful on this chart lives in the **wicks and the**

body sizes, not in the colour.

> 📌 Two facts that kill a lot of bad advice
>
> A green Heikin Ashi candle **always** has an upper wick. A red one **always** has a lower wick. The formulas guarantee it.
>
> So "a green candle with an upper wick" is never a signal — it is every green candle. Only the **size** of that wick against the body carries any information. The wick that genuinely means something is the one on the *other* side: a lower wick on a green candle, an upper wick on a red one. Those have to be earned.

SECTION TWO

The candle types

Sorted by their wicks, because that is where the information is. Each one is labelled mechanical or convention, so you always know whether you are looking at a fact or a habit.

🎯 Answering the two questions directly

A wick on the upper side. On a **green** candle it is always there, so only its length matters — a long one says price reached up and did not stay. On a **red** candle it had to be earned, so its presence is the news: price got back up into the last body and was pushed down again. In an uptrend a long upper wick is a first sign of buyers paying up for nothing. In a downtrend it is a failed attempt to rally. Different meanings, same shape.

A wick on the lower side. Exactly the mirror. On a **red** candle it is always there. On a **green** candle it had to be earned, and its appearance is the single earliest crack in an up move. In an uptrend a growing lower wick says sellers are getting a foot in the door. In a downtrend a long lower wick says buyers are absorbing the selling.

2.1 Flat-bottom green MECHANICAL

Green body, no wick underneath at all.

What it is	The bottom of the body is also the bottom of the candle. There is nothing sticking out below.
The maths	This happens when the middle of the last candle's body sat at or below the lowest price of this bar. In plain words: this whole bar traded above the middle of the last one.
What it means	Buyers held the entire bar. Sellers never pushed price back down into the last candle's body, not even for a second.
In a trend	The strongest ordinary up bar there is. In a run, these are the engine of the move.
What I do	Stay with the trend. This is not a warning candle. Do not look for a top while these keep printing.
Wrong when	One flat-bottom green in the middle of chop means nothing. It only carries weight inside a run of them.

2.2 Flat-top red MECHANICAL

Red body, no wick on top at all.

What it is	The top of the body is also the top of the candle. Nothing sticks out above.
The maths	The mirror of 2.1. The middle of the last candle's body sat at or above the highest price of this bar.
What it means	Sellers held the whole bar. Buyers never got price back up into the last candle's body.
In a trend	The strongest ordinary down bar. The engine of a sell-off.
What I do	Stay with the down move. Do not hunt for a bottom while these keep printing.
Wrong when	Same as above. One on its own is noise.

2.3 Big flat-bottom green CONVENTIONAL

Flat bottom, and a body much bigger than the recent ones.

What it is	A flat-bottom green whose body is clearly taller than the bodies around it.
The maths	Nothing extra is forced by the maths. 'Bigger' is your judgement against the recent bars, which is why this one is a convention.
What it means	Buyers were not just in control, they were in a hurry.
In a trend	Expansion. Moves that go somewhere usually contain a few of these.
What I do	This is the candle you want to already be positioned for, not the one you chase. Entering here means buying at the top of a fast bar.
Wrong when	A big body right at the end of a very long run is just as often the last push as the first.

2.4 Big flat-top red CONVENTIONAL

Flat top, body much bigger than the recent ones.

What it is	The mirror of 2.3.
The maths	Same caveat. 'Big' is relative and judged by eye.
What it means	Sellers in a hurry.
In a trend	Downside expansion.
What I do	Same rule. Do not chase it.
Wrong when	Same. A huge red bar after a long fall can be the end, not the start.

2.5 Green that grows a lower wick MECHANICAL

Still green, but now something sticks out below the body.

What it is	A green candle where the low of the candle is below the bottom of the body.
The maths	This can only happen if price traded BELOW the middle of the last candle's body at some point in this bar. That is exactly what the flat-bottom candle told you had not happened.
What it means	Sellers got a foot in the door. For the first time in the run, price came back into old ground.
In a trend	This is the first crack. Not a reversal, a crack. It is the earliest thing on the chart that says the one-way move has ended.
What I do	Tighten your attention, not necessarily your stop. Start looking for the sequences in section 3.
Wrong when	Lower wicks appear all the time in normal healthy pullbacks. One wick is information, not an instruction.

2.6 Green with a long upper wick MECHANICAL THEN CONVENTIONAL

Green, but with a long tail sticking up above the body.

What it is	A green candle whose upper wick is long compared with its body.
The maths	Here is the fact almost nobody tells you: a green Heikin Ashi candle ALWAYS has some upper wick. The maths guarantees it. So an upper wick on a green candle is never news. Only its SIZE relative to the body carries meaning, and 'long' is your judgement.
What it means	Price reached up there and did not stay. The average price of the bar finished well below its high.
In a trend	Inside an up run, repeated long upper wicks say buyers are paying up and getting nothing for it.
What I do	Read it together with the body. Long wick plus shrinking body is a much louder warning than either on its own.
Wrong when	A single long upper wick during a strong session often just means one spike got faded. Wait for it to repeat.

2.7 Red with a long upper wick CONVENTIONAL

Red body with a long tail above it.

What it is	A red candle whose upper wick is long relative to its body.
The maths	Because a red HA candle's body top is its open, a long upper wick means price pushed well above where the previous body sat, then gave it all back.
What it means	An attempt up that failed inside the bar.
In a trend	Inside a down move, this is continuation with a struggle. At the end of an up move, this is often where the turn actually happened.
What I do	Mark the real high of that bar from the NORMAL candle chart. That level matters. The HA wick top does not.
Wrong when	If the next candle is a flat-bottom green, the failure failed.

2.8 Red with a long lower wick MECHANICAL THEN CONVENTIONAL

Red body with a long tail below it.

What it is	A red candle whose lower wick is long compared with its body.
The maths	The mirror of 2.6. A red Heikin Ashi candle ALWAYS has some lower wick. Only the size is information.
What it means	Price fell down there and did not stay. Buyers lifted it back.
In a trend	Inside a down run, repeated long lower wicks say sellers are pressing and getting nothing.
What I do	Watch for it to repeat, and watch the bodies shrink alongside it.
Wrong when	One long lower wick is very often just a stop run that goes nowhere.

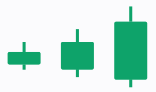
2.9 Wicks on both sides MECHANICAL

Body in the middle, tails above and below.

What it is	A candle with visible wick above AND below the body.
The maths	For a green candle, the lower wick is the one that had to be earned. Its presence proves price went back below the middle of the last body.
What it means	Both sides got a turn inside the same bar. Nobody kept control.
In a trend	Two-sided wicks are the signature of a market that has stopped trending and started arguing.
What I do	If these appear at the top of a long green run, treat the run as finished until proven otherwise.
Wrong when	During a quiet session, two-sided wicks may only mean nothing is happening yet. Volume and time of day matter.

2.10 Bodies getting bigger CONVENTIONAL

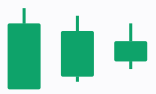
Each body taller than the last, same colour.



What it is	Three or more candles of the same colour where each body is noticeably taller than the one before.
The maths	Nothing forced. This is a shape you read.
What it means	The move is speeding up, not just continuing.
In a trend	Expansion. This is what a real move looks like while it is working.
What I do	Hold. Do not take profit into strength just because it feels far.
Wrong when	Expansion also happens at the very end, into a blow-off. Size alone cannot tell you which.

2.11 Bodies getting smaller CONVENTIONAL

Same colour, but each body shorter than the last.



What it is	Three or more same-colour candles whose bodies shrink step by step.
The maths	Nothing forced. Read by eye.
What it means	The side in control is still in control, but pushing less hard each bar.
In a trend	This is the quiet warning. It usually arrives BEFORE the first candle of the other colour, which is exactly what makes it useful.
What I do	This is your cue to start managing an open position, not to reverse.
Wrong when	Bodies shrink during every normal pause. A pause and a top look identical until price proves otherwise.

2.12 Heikin Ashi doji MECHANICAL

Tiny body, long wicks on both sides.

What it is	A candle whose body is very small compared with its total height.
The maths	A small body means the average price of this bar finished almost exactly on the middle of the last body. Nothing moved, net.
What it means	Complete disagreement. Everything that was won inside the bar was given back.
In a trend	At the end of a long run, this is the classic pause-or-turn bar. In the middle of a range, it is just more range.
What I do	Do nothing on the doji itself. Act on the candle AFTER it, and on which side of the doji's real range price leaves.
Wrong when	Dojis are extremely common on low timeframes and around session changeovers. Location decides whether one matters.

2.13 The flat line MECHANICAL

A body so small it is basically a line.

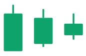
What it is	Body height near zero.
The maths	The bar's average price landed on the previous body's midpoint almost exactly.
What it means	Total indecision, or almost no participation at all.
In a trend	Very often a session boundary, a holiday, or the quiet hours rather than a real signal.
What I do	Check the clock before you read anything into it.
Wrong when	Reading a dead-hours flat line as a reversal signal is one of the most common ways to lose money on this chart.

SECTION TWO · SUMMARY

The one page to print

Every candle type on a single page. This is the page to keep beside the screen.

	SHAPE	TYPE	WHAT IT MEANS	WHAT I DO
	Flat-bottom green Green body, no wick underneath at all.	Mechanical	Buyers held the entire bar. Sellers never pushed price back down into the last candle's body, not even for a second.	Stay with the trend. This is not a warning candle. Do not look for a top while these keep printing.
	Flat-top red Red body, no wick on top at all.	Mechanical	Sellers held the whole bar. Buyers never got price back up into the last candle's body.	Stay with the down move. Do not hunt for a bottom while these keep printing.
	Big flat-bottom green Flat bottom, and a body much bigger than the recent ones.	Convention	Buyers were not just in control, they were in a hurry.	This is the candle you want to already be positioned for, not the one you chase. Entering here means buying at the top of a fast bar.
	Big flat-top red Flat top, body much bigger than the recent ones.	Convention	Sellers in a hurry.	Same rule. Do not chase it.
	Green that grows a lower wick Still green, but now something sticks out below the body.	Mechanical	Sellers got a foot in the door. For the first time in the run, price came back into old ground.	Tighten your attention, not necessarily your stop. Start looking for the sequences in section 3.
	Green with a long upper wick Green, but with a long tail sticking up above the body.	Both	Price reached up there and did not stay. The average price of the bar finished well below its high.	Read it together with the body. Long wick plus shrinking body is a much louder warning than either on its own.
	Red with a long upper wick Red body with a long tail above it.	Convention	An attempt up that failed inside the bar.	Mark the real high of that bar from the NORMAL candle chart. That level matters. The HA wick top does not.
	Red with a long lower wick Red body with a long tail below it.	Both	Price fell down there and did not stay. Buyers lifted it back.	Watch for it to repeat, and watch the bodies shrink alongside it.
	Wicks on both sides Body in the middle, tails above and below.	Mechanical	Both sides got a turn inside the same bar. Nobody kept control.	If these appear at the top of a long green run, treat the run as finished until proven otherwise.

	SHAPE	TYPE	WHAT IT MEANS	WHAT I DO
	Bodies getting bigger Each body taller than the last, same colour.	Convention	The move is speeding up, not just continuing.	Hold. Do not take profit into strength just because it feels far.
	Bodies getting smaller Same colour, but each body shorter than the last.	Convention	The side in control is still in control, but pushing less hard each bar.	This is your cue to start managing an open position, not to reverse.
	Heikin Ashi doji Tiny body, long wicks on both sides.	Mechanical	Complete disagreement. Everything that was won inside the bar was given back.	Do nothing on the doji itself. Act on the candle AFTER it, and on which side of the doji's real range price leaves.
	The flat line A body so small it is basically a line.	Mechanical	Total indecision, or almost no participation at all.	Check the clock before you read anything into it.

SECTION THREE

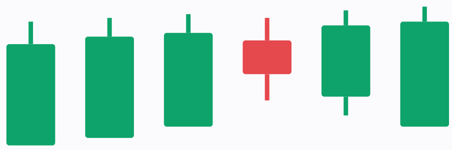
The sequences

One candle is a word. A run of them is a sentence. This section is the part that actually changes how you see the chart.

> 💡 **How to use this section**
>
> Each sequence has a thing that **confirms** it and a thing that **kills** it. Learn the killers first. Knowing what would prove you wrong is worth more than knowing what would prove you right, because you will meet the killers far more often.

3.1 Many greens, one red, greens again

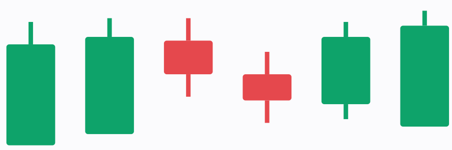
CONTINUATION



What you see	A single red candle interrupts a run of greens, then the greens come straight back.
Underneath	One bar of profit-taking. Price dipped back into the last body, found buyers immediately, and carried on.
Confirms it	The very next candle is green AND has no lower wick. That flat bottom is the tell: the pullback is already over.
Kills it	The next candle is a second red with a bigger body than the first.
What I do	Nothing. This is what a healthy trend looks like. If you are already long, this is not your exit.

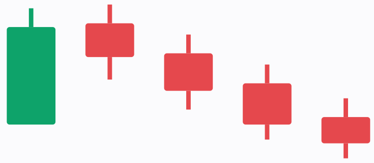
3.2 Many greens, two reds, greens again

CONTINUATION, WITH LESS CONFIDENCE THAN 3.1



What you see	Two reds in a row inside an up run, then green again.
Underneath	A deeper pause. Price gave back more, but the second red did not accelerate.
Confirms it	The second red has a SMALLER body than the first, and the green that follows closes above the first red's body top.
Kills it	The second red is bigger than the first. That is acceleration down, not a pause, and it turns this into 3.4.
What I do	Wait for the green. Two reds is the point where you stop adding and start watching.

3.3 Greens, then three or more reds CHANGE



What you see Three or more reds in a row after an up run.

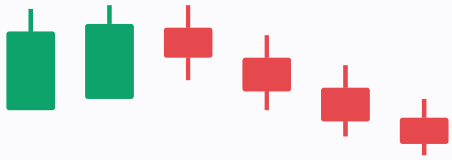
Underneath This is no longer a pause. Sellers have had three consecutive bars of control.

Confirms it Three reds where the bodies do NOT shrink, plus a red that takes out the real low of the last obvious swing on the normal candle chart. Structure confirms, Heikin Ashi only describes.

Kills it Bodies shrink across the three, wicks appear underneath, and a flat-bottom green follows. Then it was a deep pullback.

What I do This is the honest answer to 'where is the line between a pullback and a real change': there is no candle count that settles it. Two is usually a pause, three is a question, four with growing bodies plus a broken structure level is a change. The structure break is what decides, not the count.

3.4 Two greens, one red, then many reds CHANGE



What you see The up run was already short. One red, then the reds keep coming and get bigger.

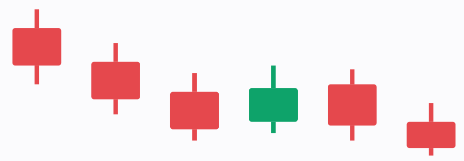
Underneath The rolling-over sequence. The two greens were the weak end of a move, not the start of one.

Confirms it Each red body bigger than the last, and upper wicks on the reds getting shorter.

Kills it A flat-bottom green appears inside the reds.

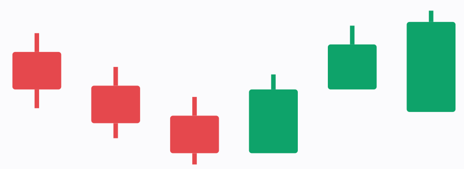
What I do If you were long from the greens, this sequence is why you are out. Do not wait for a fifth red to admit it.

3.5 Many reds, one green, then red again CONTINUATION OF THE DOWN MOVE



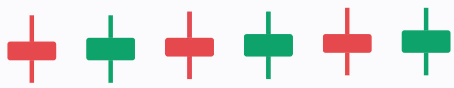
What you see	A single green interrupts a down run and is immediately followed by red again.
Underneath	The failed bounce. Buyers showed up for exactly one bar and got run over.
Confirms it	The lone green has a long upper wick and a small body, and the red after it takes out the green's low.
Kills it	The lone green has NO lower wick and a big body. That is 3.6 starting, not a failed bounce.
What I do	This is the single most expensive pattern for someone trying to catch a bottom. One green candle is not a turn.

3.6 Many reds, one green, then many greens CHANGE



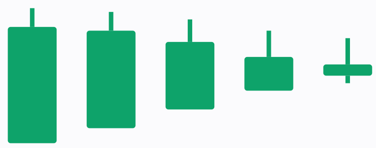
What you see	A down run ends, one green prints, and the greens keep coming.
Underneath	The real turn. Control changed hands and stayed changed.
Confirms it	The FIRST green has no lower wick, and the second green's body is bigger than the first's. That combination is the strongest flip signal on this chart.
Kills it	The first green has a long lower wick and a small body, then a red with a bigger body follows. Back to 3.5.
What I do	Note the difference between this and 3.5 is only visible on the SECOND candle after the green. That is the cost of the smoothing: you cannot know on the green itself.

3.7 Red, green, red, green, all small NO BIAS



What you see	Colours alternate every bar or two and no body is large.
Underneath	Chop. Neither side can hold the bar.
Confirms it	Three or more colour flips inside six candles, with all bodies smaller than the recent average and wicks on both sides.
Kills it	One candle with a flat side and a body bigger than everything around it.
What I do	Stop trading it. This is the pattern that quietly takes back what the trending days gave you. Recognising it fast is worth more than any entry rule in this document.

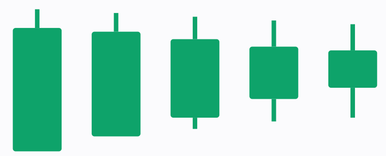
3.8 Greens whose bodies shrink WARNING, NOT A SIGNAL



What you see	Still all green. No red anywhere. But each body is shorter than the last.
Underneath	Buyers still win every bar, by less and less.
Confirms it	Four or more greens in a row with steadily shrinking bodies.
Kills it	One big flat-bottom green resets the whole thing.
What I do	This is the earliest warning Heikin Ashi gives, and it arrives while the chart is still entirely green. It is the reason to read bodies and not just colours.

3.9 Greens where lower wicks start appearing

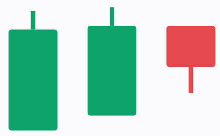
WARNING, NOT A SIGNAL



What you see	Still all green, but wicks begin to show underneath the bodies and get longer each bar.
Underneath	Price is dipping back into old ground during the bar, and doing it more each time.
Confirms it	Three greens in a row where each lower wick is longer than the last.
Kills it	A green with a flat bottom.
What I do	In practice these two warnings — 3.8 and 3.9 — usually arrive together, and when they do the warning is much stronger than either alone. When they arrive separately, the shrinking bodies of 3.8 tend to come first, because the body shrinks as soon as the push weakens, while the wick needs price to actually trade back down.

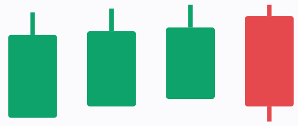
3.10 A colour flip with no wick on the trend side

CHANGE



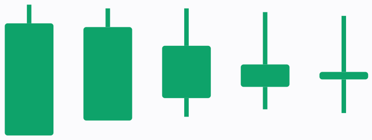
What you see	After a green run, the first red has NO upper wick at all.
Underneath	The flip did not just happen, it happened decisively. Price never got back up into the last body during the whole bar.
Confirms it	It is already its own confirmation. This is the strongest single flip candle there is.
Kills it	Very little on the bar itself. It can still fail on the next bar, but rarely quietly.
What I do	Compare with a first red that has a long upper wick. That one is a shrug. This one is a decision.

3.11 A red inside an uptrend that is bigger than the greens CHANGE



What you see	One red candle whose body is clearly taller than every green around it.
Underneath	Everything the last few bars built was undone in one bar.
Confirms it	It is size against its neighbours that matters, so compare it with the last five bodies, not with your memory.
Kills it	An immediate flat-bottom green that closes above the red's body top.
What I do	Treat this as more serious than three small reds. Speed of the give-back matters more than the number of bars it takes.

3.12 Two-sided wicks at the top of a long green run WARNING



What you see	After a strong run, the last few greens all have visible wicks above AND below.
Underneath	The run has stopped being one-sided. Both sides are getting a turn inside every bar now.
Confirms it	Two or more consecutive greens with wicks on both sides after a run of flat-bottomed ones.
Kills it	A flat-bottom green with an expanding body.
What I do	Combine with 3.8. Shrinking bodies plus two-sided wicks at the top of a run is the most reliable warning combination on the chart, and it is still only a warning.

Ranked, most likely to continue → most likely to turn

This ranking is a **reading convention**. It has not been measured on data, here or anywhere in this document. Treat it as a way to order your attention, not as a probability.

#	SEQUENCE	READS AS
1	3.1 Many greens, one red, greens again	Continues
2	3.5 Many reds, one green, then red again	Continues
3	3.2 Many greens, two reds, greens again	Continues
4	3.8 Greens whose bodies shrink	Warning

#	SEQUENCE	READS AS
5	3.9 Greens where lower wicks start appearing	Warning
6	3.12 Two-sided wicks at the top of a long green run	Warning
7	3.7 Red, green, red, green, all small	No bias
8	3.3 Greens, then three or more reds	Turns
9	3.11 A red inside an uptrend that is bigger than the greens	Turns
10	3.4 Two greens, one red, then many reds	Turns
11	3.10 A colour flip with no wick on the trend side	Turns
12	3.6 Many reds, one green, then many greens	Turns

SECTION FOUR

Structure and timeframes

Where Heikin Ashi belongs in the reading you already do, and where it must be kept out of it.

The split, in one line

> 🧭 The working rule
>
> Heikin Ashi tells you who is in control. Normal candles tell you where the levels are. Never let the two jobs cross over.

Reading structure on a Heikin Ashi chart

Higher highs, higher lows, breaks of structure, changes of character — you can see the *shape* of all of these on Heikin Ashi, and it is often easier to see than on normal candles. But you cannot take the *prices* from it.

Here is why, precisely. The high of a Heikin Ashi candle is the highest of three numbers, and two of them are averages. So a Heikin Ashi swing high can sit **above** the real high of that bar, at a price that never traded. If you mark your swing high there, you have drawn a line at a price that does not exist, and every decision that follows is built on it.

> ⚠️ Three things you must always take from normal candles
>
> Swing highs and swing lows. Session highs and lows, previous day and previous week levels. Gaps — and note that Heikin Ashi **never gaps at all**, because each candle opens from the last candle's body rather than from the market. Sunday's gap simply disappears from this chart.

How to work, every session

1. Mark your levels on the normal candle chart first, before you look at Heikin Ashi at all. 2. Switch to Heikin Ashi and read control: colour, body size, wicks. 3. Switch back to normal candles to place anything. The reading and the levels never come from the same chart.

Stacking the timeframes

Read daily first, then 4H, then your trading timeframe. What you are looking for is agreement.

DAILY	4H	15M	WHAT IT IS	WHAT IT MEANS
Green	Green	Green	All three agree, up	The cleanest condition there is. Pullbacks on the 15m are the only thing to wait for.
Green	Green	Red	Big picture up, small picture pulling back	This is the normal buying opportunity. The 15m red run is the pullback.
Green	Red	Red	Daily up, but the 4H has turned	A deeper correction is running. The daily has not broken, but do not treat the 15m greens as trend continuation yet.
Red	Green	Green	Daily down, lower timeframes bouncing	The most dangerous combination for a new trader. Most of these bounces end. The daily is the one telling the truth.

DAILY	4H	15M	WHAT IT IS	WHAT IT MEANS
Red	Red	Green	Big picture down, small picture pulling back	The mirror of row two. This is the normal selling opportunity.
Red	Red	Red	All three agree, down	Clean downside. Same logic as row one, reversed.

Heikin Ashi at a level

When price arrives at a level you drew from the normal candles, the shapes tell you whether it is holding or going.

The level is holding when the candles arriving into it lose their flat side — greens start growing lower wicks, bodies shrink, then you get two-sided wicks or a doji sitting on the level. That is 3.8 and 3.9 arriving exactly where you expected resistance.

The level is going when a candle arrives at it with a flat bottom and a body bigger than its neighbours, and the next one does the same. Price is not testing the level, it is walking through it.

Sessions

Honestly: the formulas do not know what time it is, so nothing about Heikin Ashi changes by session. What changes is the market underneath it.

In the quiet Asian hours, small bodies and two-sided wicks are usually just low participation rather than a signal — section 2.13 is mostly an Asian-session candle. Around the London and New York opens, the first Heikin Ashi candle of a fast move is badly affected by the lag, because half of it is still made of the quiet hour before. Give the open a candle or two before trusting the shape.

That is a reasoned expectation from how the formulas work, not a measured result. Nothing in this document has been tested session by session.

SECTION FIVE

Expert: where it fails

Every tool has conditions where it misleads you. These are Heikin Ashi's, and knowing them is the expert part.

1. Ranges and chop

This is the big one. Smoothing makes a range look like a series of small trends. You get three greens, three reds, three greens, and each run looks like something starting. Section 3.7 is the pattern to recognise, and the tell is that no body ever gets large and every candle has wicks on both sides.

2. Gaps and the Sunday open

Heikin Ashi has no gaps. Ever. The candle after a gap opens from the middle of the last body, so a weekend gap in gold simply vanishes from the chart. If gaps matter to you, they are invisible here.

3. Thin hours

In low-liquidity periods you get tiny bodies and long wicks that look like indecision at a turning point. Usually it is just nobody trading. Check the clock before you read anything into a small candle.

4. Fast news candles

A single enormous news bar gets averaged into the following candles. The chart shows you a smooth push over three bars where the market actually made one violent move and then stood still. Your read of "a strong sustained move" is an artefact of the maths.

5. The sharp V

The lag is worst here. On a genuine V reversal the colour can flip several candles after the low, by which point a large part of the move is gone.

⚠️ The stop-loss trap, with numbers

Illustrative figures, chosen to show the mechanism — not a real bar.

Say the real bar on gold ran from a low of **2,650.00** to a high of **2,656.00**, opening at 2,651.00 and closing at 2,655.00. The Heikin Ashi close is the average of those four: **2,653.00**. Suppose the previous Heikin Ashi body had its middle at **2,648.50**. Then the Heikin Ashi low is the lowest of (2,650.00, 2,648.50, 2,653.00) = **2,648.50**.

So the Heikin Ashi candle shows a low of 2,648.50. **Price never went there.** The real low was 2,650.00, a dollar and a half higher.

Put your stop "just below the wick" at 2,648.30 and you are risking $1.70 more per ounce than you think, on a level that has no meaning to anyone else in the market. Do it the other way — a Heikin Ashi wick that sits *inside* the real range — and your stop is above the real low, where it will be hit by a move that never actually broke anything.

How to live with the lag

Three things work, and none of them removes it.

Read the body and the wicks, not the colour. The warnings in 3.8 and 3.9 arrive while the run is still entirely green. That is the whole value of the tool: it is early there, and late on the flip.

Read Heikin Ashi one timeframe up. Use the 4H Heikin Ashi for control and the 15m normal candles for timing. The lag on the higher timeframe costs you less, because you were not trying to time it there anyway.

Let structure decide the turns. A broken level on the normal chart is a fact. A colour flip is an average crossing another average.

> ✅ What it is genuinely good at, stated narrowly
>
> Showing you whether a trend is **strengthening or weakening while it is still going**, through body size and the appearance of wicks on the trend side. That is it. It is not better than plain candles at spotting turns, finding levels, timing entries, or judging strength at a single bar. It is better at one thing: making a fading run visible before the colour changes.

SECTION SIX

The seven questions

In order, every time you look at the chart. Short enough to memorise, which is the only reason it will actually get used.

1. **What colour is the daily, and is its body growing or shrinking?**
   This sets which direction you are even allowed to look for.

2. **What colour is the 4H, and does it agree with the daily?**
   Agreement means trade with it. Disagreement means you are inside a correction, so expect it to be messier.

3. **On my trading timeframe, are the bodies growing or shrinking?**
   Growing means the move is working. Shrinking is the early warning, and it comes before any colour change.

4. **Are wicks appearing on the trend side?**
   Lower wicks in an up run, upper wicks in a down run. Their arrival is the first crack.

5. **Which named sequence from section 3 am I looking at right now?**
   If you cannot name it, you do not have a read. That is a valid answer and it means do nothing.

6. **Where are my real levels, from the NORMAL candle chart?**
   Heikin Ashi never supplies a level. Not one. Ever.

7. **If I am wrong, what will the chart do to prove it?**
   Say it out loud before you act, not afterwards.

> 📌 The honest answer to question five
>
> "I cannot name the sequence" is the correct answer far more often than any of the twelve names. When it is the answer, the action is nothing. Most of the money lost reading charts is lost during the bars where there was nothing to read.

SECTION SEVEN

What is not true

Six claims you will meet everywhere. Each one is either wrong or much narrower than it sounds.

"Heikin Ashi removes the noise."

It does not remove anything. It averages each bar with the bar before it, so the noise is smeared across several candles instead of sitting in one. The chart looks calmer. The market is exactly as messy as it was. And the averaging adds a delay that plain candles do not have.

"Green means buy, red means sell."

The colour flips when the average price of the new bar crosses the middle of the last candle's body. That is a backward-looking test by construction, so the flip is always late. Trading every flip in a market that is not trending is a reliable way to lose money slowly.

"Heikin Ashi filters out false signals."

It delays them. A false signal that arrives two bars late is still a false signal, and you now have a worse price.

"You can trade it the same way you trade normal candles."

You cannot, and this is the one that costs real money. The high and low of a Heikin Ashi candle are not prices that traded. A stop placed on one sits at a price that never existed.

"It shows you the real trend."

It shows you a smoothed version of recent bars. Whether that constitutes a trend is your interpretation, and the smoothing makes ranges look like trends more often than it makes trends look like ranges.

"The backtest on the Heikin Ashi chart was profitable."

Backtests run on a Heikin Ashi chart fill orders at Heikin Ashi prices, which do not exist in the market. Results from such a test are not achievable. This is one of the best-known ways to produce a beautiful equity curve that cannot be traded.

🧾 What this document is, exactly

A way of **reading** a chart. Every shape and every sequence in here is a description of what the candles are doing and a convention for what traders take it to mean.

None of it has been backtested, here or anywhere else in this project. No win rate is claimed, no edge is claimed, and no sequence in section three has been counted on real data. If you want to know whether any of it is true on gold, it has to be measured — and until it is, treat every ranking and every "usually" in this document as a habit of reading rather than a fact about the market.
